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CASE #	CASE NAME	HEARING NAME
CVRI2501015	IMMIGRANT RIGHTS DEFENSE COUNCIL, LLC vs TADEO ONOFRE	MOTION FOR ATTORNEYS FEES

Tentative Ruling:

Factual / Procedural Context:

Immigrant Rights Defense Council, LLC ("Plaintiff") is a non-governmental organization. It brings this lawsuit on behalf of the State of California under the Immigration Consultants Act ("ICA") to shut down illegally operated immigration consultant businesses. Plaintiff contends that Otilia Tadeo Onofre ("Defendant") is running such a business and seeks an injunction permanently enjoining Defendant from violating the ICA.

Plaintiff brings this motion. The parties have settled that matter. They have agreed to have the Court decide the issue of attorney's fees. It seeks \$47,542.50 in attorneys' fees, which includes a 1.5 multiplier. It also seeks \$60 in filing fees. It asserts that it is entitled to the fees sought under Business & Professions Code § 22446.5(b). It argues that the amount of fees sought is reasonable. It asserts that a multiplier is warranted.

In opposition, Defendant argues that the motion should be denied due to unclean hands. It contends that during the pendency of the action, Plaintiff was suspended by the California Secretary of State for failure to pay taxes. It argues that Plaintiff failed to tell Defendant or the Court of this fact and continued prosecuting this matter. It argues the motion should also be denied because Plaintiff did not suffer any actual harm due to Defendant's conduct. It argues the fees sought are unreasonable and fees should not be alleged in connection with discovery motions and anticipatory fees.

In reply, Plaintiff contends that Defendant's unclean hands argument lacks merit. It asserts that as a prevailing party it is entitled under the applicable statutes to attorneys' fees. It reasserts the arguments set forth in its moving papers.

Analysis

Attorneys' Fees: Plaintiff seeks attorneys' fees under Business & Professions Code § 22446.5. This code section states: "[a] person claiming to be aggrieved by a violation of this chapter by an immigration consultant may bring a civil action for injunctive relief or damages, or both. If the court finds that the defendant has violated a provision of this chapter, it shall award actual damages, plus an amount equal to treble the amount of actual damages or one thousand dollars (\$1,000) per violation, whichever is greater. The court shall also grant a prevailing plaintiff reasonable attorneys' fees and costs." It also states that "[a]ny other party who, upon information and belief, claims a violation of this chapter has been committed by an immigration consultant may bring a civil action for injunctive relief on behalf of the general public and, upon prevailing, shall

recover reasonable attorneys' fees and costs." (*Id.* at (b).) Plaintiff does not allege an actual injury. However, under Business & Professions Code § 22446.5(b), it was allowed to pursue an injunction and recover attorney's fees and costs if it prevailed on its claim. Since under the parties' stipulated judgment, an injunction has been obtained, Plaintiff is the prevailing party and entitled to attorney's fees under Business & Professions Code § 22446.5(b).

Unclean Hands: Unclean hands is an equitable defense. (*Kendall-Jackson Winery, Ltd. v. Superior Court* (1999) 76 Cal.App.4th 970, 978.) "The misconduct that brings the unclean hands doctrine into play must relate directly to the cause at issue. Past improper conduct or prior misconduct that only indirectly affects the problem before the court does not suffice. The determination of the unclean hands defense cannot be distorted into a proceeding to try the general morals of the parties." (*Id.* at 979.) There has to be a direct relationship between the misconduct and the claims at issue, which would make it inequitable to grant the relief sought by the plaintiff. (*Id.*) A three prong factor test is applied to determine whether the conduct at issue constitutes unclean hands. (*Id.* at 989.) "Whether the particular misconduct is a bar to the alleged claim for relief depends on (1) analogous case law, (2) the nature of the misconduct, and (3) the relationship of the misconduct to the claimed injuries." (*Id.*) Defendant's argument regarding Plaintiff being suspended by the Franchise Tax Board does not fit within the doctrine of unclean hand because it does not pertain to the underlying claims.

While the doctrine of unclean hands does not appear applicable, Plaintiff's suspension is problematic. Defendant provides evidence that Plaintiff was suspended from the period of 6/2/25 to 7/3/25. (Exhibit B to Mike Pena's Declaration.) When a suspension occurs due to failure to pay the Franchise Tax Board, an entity forfeits their powers, rights, and privileges in the state. (Revenue & Tax Code § 23301.) Such a forfeiture includes the right to prosecute an action. (See *Casiopea Bovet, LLC v. Chiang* (2017) 12 Cal.App.5th 656, 662.) Since Plaintiff should not have been prosecuting this matter during the month it was suspended, I think it is reasonable to reduce the amount of hours billed to this matter during this time period. As such, the billing entries for 6/5/25 and 6/10/26, which are each .1, are not recoverable.

Reasonableness of Hourly Rate and Time Spent: Defendant argues that the hourly rate proposed and time spent on this matter was unreasonable. The matter of reasonableness of a party's attorney's fees is within the sound discretion of the trial judge. (*Bruckman v. Parliament Escrow Co.* (1989) 190 Cal.App.3d 1051, 1062.) Courts generally consider several factors in determining the reasonableness of a party's attorney's fees. These include "the nature of the litigation, the difficulty of the litigation, the attention given to the issues, the success of the attorney's efforts, and time consumed. [Citation omitted.]" (*PLCM Group, Inc. v. Drexler* (1999) 72 Cal.App.4th 693, 708.)

Although a fee request ordinarily should be documented in great detail, the court is entitled to make its own evaluation of the reasonable worth of the work done in light of the nature of the case and the credibility of counsel's declaration, unsubstantiated by time records and billing statements. (See *Weber v. Langholz* (1995) 39 Cal.App.4th 1578, 1587; see also *Bernardi v. County of Monterey* (2008) 167 Cal.App.4th 1379,

1394.) Specifically, in exercising its discretion, the Court may consider all facts and the entire procedural history of the case in setting the amount of a reasonable attorney's fee award. (*Bernardi, supra*, 167 Cal.App.4th 1379, 1394.)

Lodestar is the objective starting point to determine if attorney's fees are reasonable. (*Nichols v. City of Taft* (2007) 155 Cal.App.4th 1233, 1242.) Lodestar is calculated by assessing the reasonable rate for comparable services in the local community, multiplied by the reasonable number of hours spent on the case. (*Id.*) Lodestar requires the court to determine what a reasonable rate and number of hours expended is. (*Concepcion v. Amscan Holdings, Inc.* (2014) 223 Cal.App.4th 1309, 1320.)

Defendant argues that the amount of time spent on this matter is excessive because Defendant offered to settle this matter on 4/7/25 for the same terms that Plaintiff eventually agreed to on 3/24/26. Due to this, Defendant contends that fees incurred from 4/8/25 to 3/23/26 are unreasonable. This argument is persuasive. Under Business & Professions Code § 22446.5(b), Plaintiff was only entitled to seek injunctive relief against Defendant. Defendant offered to settle this matter on 4/7/25. (Exhibit A to Mike Pena's Declaration.) As part of that settlement agreement Defendant agreed to be permanently enjoined from further violation of the ICA and agreed to pay Plaintiff all costs and attorney's fees allowed by law as determined by the court. (*Id.*) The terms agreed to by the parties and filed with the Court on 3/24/26 are identical to Defendant's earlier proposed settlement agreement. The only difference is that the 3/24/26 agreement reference CCP § 664.6 and continued jurisdiction by the Court. During 4/8/25 to 3/23/26, 14.6 hours were billed. Plaintiff fails to justify any of these fees. If fails to articulate why more work needed to be done. As such, I recommend reducing the total number of hours spent on this matter by 14.6 hours. (This reduction reduces the time billed for discovery motions, which are attacked by the opposition and therefore, do not need to be separately addressed. It also encompasses the 6/5/25 and 6/10/26 and billing entries discussed above.)

The hourly rate sought by counsel is \$750, which transitioned to \$850 an hour during litigation. (Declaration of Sebastian M. Medvei, ¶ 8.) "The reasonable hourly rate is that prevailing in the community for similar work." (*PLCM Group, Inc., supra*, 22 Cal.4th at 1095.) The rates sought are high for Riverside County. The Court reduces the hourly rate to \$400 an hour.

Based on the reductions discussed above, this would reduce the amount of fees sought to 24.6 hours at \$400 an hour for a total of \$9840.

Defendant also contends that anticipated fees should not be allowed. Typically, anticipated fees for reviewing an opposition, preparing a reply, and attending the hearing are allowed, if they appear reasonable. The amount seems reasonable, except for the 8 hours sought for "post-judgment monitoring of compliance with injunction." Due to this, the Court reduces another 8 hours from the total amount billed in this matter, which would reduce the number of hours billed in this matter to 16.6 and the total amount to \$6640.

Multiplier: Plaintiff asks for a 1.5 multiplier in this matter. When determining whether to apply a multiplier, the court should consider “the novelty and complexity of the issues, the skill and expertise of counsel, the extent that the litigation precluded other employment and the contingent nature (or risk) of nonrecovery.” (*Robins v. Alibrandi* (2005) 127 Cal.App.4th 438, 448.) The purpose of the lodestar enhancement is “to bring financial incentives for attorneys enforcing important constitutional rights . . . into line with incentives they have to undertake claims for which they are paid on a fee-for-services basis.” (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.) The party seeking the enhancement has the burden of proof. (*Id.* at 1138.) The court is not required to grant a request for an enhancement simply because an attorney takes a matter on a contingency basis, but it can do so in appropriate cases. (*Id.* at 1138.) “[A] trial court should award a multiplier for exceptional representation only when the quality of representation far exceeds the quality of representation that would have been provided by an attorney of comparable skill and experience billing at the hourly rate used in the lodestar calculation. Otherwise, the fee award will result in unfair double counting and be unreasonable. (*Id.* at 1139.)

This case is not novel or complex. The complaint does not include any novel or new theories of liability. Plaintiff did not sustain any injuries. Plaintiff is an LLC formed for the purpose of bringing lawsuits under the ICA. (Complaint, ¶ 1.) It was established to profit from this statute. As such, it is unclear to the extent it is actually serving a public interest. Due to this, a multiplier does not appear warranted and will not be awarded in this matter.

Costs: Plaintiff seeks \$60 in costs in this motion. A memorandum of costs is the appropriate way to seek costs, which Plaintiff has done. Plaintiff has filed a memorandum of costs that has not been challenged. If a memorandum of costs is not challenged within 15 days of service of the memorandum of costs, the court clerk must immediately enter the costs on the judgment. (California Rules of Court, rule 3.1700(b)(4).) Since the memorandum of costs was not challenged, costs automatically became part of the judgment and there is no need to rule on this request.

Summary of Recommendation: Grant the motion and award \$6640 in attorneys’ fees.

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CASE #	CASE NAME	HEARING NAME
CVRI2502928	TNRD MANAGEMENT, LLC vs LE	MOTION FOR JUDGMENT ON THE PLEADINGS

Tentative Ruling:

Continued to 10/1/2026